



PAPER – 3: TAXATION

SECTION A: INCOME TAX LAW

The Income-tax law, as amended by the Finance Act, 2023, including significant notifications/ circulars issued upto 29th February, 2024, is applicable for September, 2024 examination. The relevant assessment year for September, 2024 examination is A.Y.2024-25. The June, 2023 edition of the Study Material is based on the provisions of Income-tax law as amended by the Finance Act, 2023 and significant notifications/circulars issued upto 30.04.2023, and hence, the same is relevant for September, 2024 examination. The Statutory Update containing significant notifications/circulars issued between 1.5.2023 and 29.2.2024 which are relevant for September, 2024 examination is webhosted at <https://resource.cdn.icai.org/80049bos64172.pdf>



QUESTIONS

Case Scenario

Mr. Naveen, aged 40 years, is engaged in the manufacturing business. He follows mercantile system of accounting. The details pertaining to his business for the year ending on 31.3.2024 is as under –

Particulars	Amount (₹)
Capital receipts	1.20 crores
Turnover	2.80 crores
Amount received in cash [out of turnover]	8 lakhs
Amount received in cash [out of capital receipts]	2 lakhs

Amount received through account payee cheque/ NEFT and other prescribed mode on or before the specified date under section 139(1) [out of turnover]	2.50 crores
Total payment	1.60 crores
Cash payment [out of total payments]	9 lakhs
Net profit as per books of account	10.50 lakhs

An analysis of profit and loss for the year ended on 31.3.2024 revealed the following information

1. Salary includes wages of ₹ 15,000 p.m. each paid to 1 security guard, 2 housekeeping staff in cash.
2. Other administration expenses include ₹ 70,000 paid in cash (Payment in a day is less than ₹ 8,000).
3. Interest charges includes interest payable on loan to Kamal of ₹ 70,000 on which TDS has not been deducted. Loan was taken for the business purpose.

On the basis of the facts given above, choose the most appropriate answer to Q.1 to Q.5 below -

1. Is Mr. Naveen eligible to declare income on presumptive basis under the provisions of the Income-tax Act, 1961 for A.Y. 2024-25?
 - (a) No, since turnover of Mr. Naveen exceeds the threshold limit of ₹ 2 crores.
 - (b) Yes, since aggregate cash receipts during the year do not exceed 5% of total amount received.
 - (c) Yes, since amount received in cash during the year do not exceed 5% of turnover.
 - (d) No, as cash payments during the year exceed 5% of aggregate payments.
2. What would be your answer to MCQ 1, assuming for the purpose of answering this MCQ and MCQ 3 that Mr. Naveen has additionally received

- ₹ 10 lakhs by way of crossed cheque [out of turnover] during the P.Y. 2023-24?
- No, since turnover of Mr. Naveen exceeds the threshold limit of ₹ 2 crore.
 - No, since the aggregate cash receipts during the year exceed 5% of turnover.
 - No, as cash payments during the year exceed 5% of aggregate payments.
 - No, due to both (a) and (b)
3. Is Mr. Naveen required to get his books of account audited during the P.Y. 2023-24?
- No, since turnover of Mr. Naveen does not exceed the threshold limit of ₹ 10 crores.
 - Yes, since amount received in cash during the year exceeds 5% of turnover.
 - Yes, since cash payments during the year exceed 5% of aggregate payments.
 - No, since the amount received in cash during the year does not exceed 5% of total amount received.
4. What is the amount of profits and gains of business chargeable to tax in the hands of Mr. Naveen as per books of account?
- ₹ 10,50,000
 - ₹ 16,11,000
 - ₹ 16,81,000
 - ₹ 16,60,000
5. What is the amount of profits and gains of business chargeable to tax in the hands of Mr. Naveen if he does not want to get his books of account audited?
- ₹ 17,40,000
 - ₹ 16,96,000

(c) ₹ 22,40,000

(d) ₹ 16,80,000

6. Mrs. Sarika, an Indian citizen, is in employment with an overseas company located in UAE. She is not liable to tax in UAE. During the P.Y. 2023-24, she comes to India for 121 days. She was in India for 50 days, 100 days, 76 days and 145 days in the financial years 2019-20, 2020-21, 2021-22 and 2022-23, respectively. Her annual income for the previous year 2023-24 is as follows:

	Particulars	Amount (₹)
(i)	Salary accrued or arisen in UAE	15,00,000
(ii)	Income accrued and arisen in India	2,00,000
(iii)	Income deemed to be accrued and arisen in India	7,00,000
(iv)	Income arising and received in UAE, from a business set up in India	5,00,000
(v)	Life Insurance premium paid by cheque in India	1,00,000

Mrs. Sarika has opted out of the default tax regime under section 115BAC. From the information given above,

- (i) You are required to determine the residential status and total income of Mrs. Sarika for the A.Y. 2024-25.
 - (ii) What would be your answer if income arising and received in UAE, from a business set up in India is ₹ 10,00,000 instead of ₹ 5,00,000?
 - (iii) In continuation to point (ii), what would be your answer if Mrs. Sarika comes to India in P.Y. 2022-23 for 45 days instead of 145 days?
7. Mr. Anshul, a salaried employee in a private company, furnishes you the following information for the year ended on 31-03-2024:
- (i) Basic salary ₹ 75,000 p.m.
From 1st December 2023, basic salary increased to 85,000 p.m.
 - (ii) Dearness allowance @50% of basic salary (40% of D.A. forms part of salary for retirement benefits).
 - (iii) Entertainment allowance ₹ 10,000

- (iv) Contribution of employer to recognized provident fund account of the employee @18% of basic salary. Employees also contribute an equivalent amount.
- (v) Professional tax paid ₹ 2,200 of which ₹ 1,800 was paid by the employer.
- (vi) House rent allowance of ₹ 16,000 p.m. He paid rent of ₹ 17,000 p.m. for accommodation in Meerut.
- (vii) Conveyance allowance of ₹ 1,500 p.m. by the company towards actual reimbursement of conveyance spent on official duty.
- (viii) Loan of ₹ 2,00,000 was taken from the employer on 1.7.2023 for medical treatment of his brother for tuberculosis treatment. Interest charged on such loan is 5%. The entire loan is outstanding as on 31.3.2024. No medical insurance has been taken for his brother. SBI rate of interest on 1.4.2023 was 11%.
- (ix) Free education was provided to the sister of Mr. Anshul in a school maintained and owned by the company. The cost of such education facility is computed at ₹ 900 p.m. No amount was recovered by the company for such education facility from Anshul.
- (x) Leave travel concession given to Anshul, his wife and three children (one daughter aged 6 and twin sons aged 4). Cost of air tickets (economy class) reimbursed by the employer ₹ 20,000 for adults and lumpsum of ₹ 25,000 for three children. Anshul is eligible for availing exemption this year to the extent it is permissible under the Income-tax Act, 1961.

Compute the taxable salary of Mr. Anshul if he has shifted out of the default tax regime under section 115BAC.

8. Karan, a resident aged 50 years, furnishes the following information for the year ended on 31-03-2024:

Particulars	Amount (₹)
Salary (Gross)	2,75,000
Income from let out house property	(2,85,000)
Interest on loan paid for self-occupied house property	1,20,000

Income from sale of rubber products from rubber plants	2,00,000
Business income - Retail business	1,20,000
Business income - wholesale business	(1,00,000)
Brought forward business loss (A.Y. 2023-24)	(1,35,000)
Dividend received from ABC Ltd., an Indian company carrying on agricultural operations	13,500
Long term capital gain from sale of listed equity shares (STT paid on sale and purchase of shares)	2,00,000
Short-term capital gains on sale of shares	(1,10,000)
Lottery winnings (gross)	45,000
Contribution to provident fund and NSC	1,50,000
Income of minor son Raju from special talent	1,50,000
Interest from Bank received by Raju on deposit made out of his special talent	10,000

Compute Karan's total income under the default tax regime under section 115BAC for the A.Y. 2024-25 assuming his wife does not earn any income.

9. In each of the following independent situations, you are required to examine whether these persons are required to file their return of income or loss for A.Y. 2024-25 if their total income for the P.Y. 2023-24 do not exceed the basic exemption limit:
- The turnover of Mr. Ashish's business is ₹ 65 lakhs during the P.Y. 2023-24.
 - Mr. Subhash has incurred a total expenditure of ₹ 90,000 towards consumption of electricity during the P.Y. 2023-24.
 - Mr. Deepak has savings bank account in SBI and HDFC and a current account in Axis Bank with opening balance of ₹ 20 lakhs, ₹ 10 lakhs and ₹ 30 lakhs, respectively. He deposited ₹ 40 lakhs in SBI account, ₹ 25 lakhs in HDFC account and ₹ 75 lakhs in Axis account during the P.Y. 2023-24.

- (iv) Mr. Kumar, aged 50 years, has withdrawn cash of ₹ 1,20,00,000 during the P.Y. 2023-24 from his saving account in HDFC Bank. Mr. Kumar regularly filed his return of income till A.Y. 2023-24.
10. Mr. Anand, a resident Indian aged 45 years, has provided you the following information for the previous year ended on 31.03.2024
- (i) He owns an industrial undertaking established in a SEZ and which had commenced operation during the financial year 2019-20. Total turnover of the undertaking was ₹ 200 lakhs. Export turnover received in India in convertible foreign exchange on or before 30.9.2024 is ₹ 120 lakhs. This industrial undertaking fulfills all the conditions of section 10AA of the Income-tax Act, 1961. Profit from this industry is ₹ 35 lakhs.
- (ii) Mr. Anand sold equity shares of different Indian companies on 14th March, 2024:

Name	Sale value (per share)	Purchase price (per share)	Acquired on	No. of shares	FMV as on 31.1.2018
Sam Ltd.	₹ 150	₹ 120 (STT paid at acquisition)	2 nd Feb, 2024	2000	-
Jam Ltd.	₹ 100	₹ 72 (STT paid at acquisition)	16 th April, 2017	1250	50

CII – F.Y. 2017-18: 272; F.Y. 2023-24: 348

Sale proceeds were subject to brokerage of 0.1% and securities transaction tax of 0.125% on the gross consideration.

- (iii) He made payment of ₹ 90,000 on 1.9.2023 vide cheque towards medical insurance as lumpsum premium for himself and his wife till 31.8.2027. He also made cash payment of ₹ 7,500 towards preventive health checkup for himself and his wife.
- (iv) He received royalty of ₹ 2,88,000 from abroad for a book authored by him in the nature of artistic. The rate of royalty as 16% of value

of books and expenditure made for earning this royalty was ₹ 40,000. The amount remitted to India till 30th September, 2024 is ₹ 2,50,000.

- (v) He received income-tax refund of ₹15,750 (including interest ₹ 1,750) relating to the assessment year 2023-24.
- (v) He occupies ground floor of his residential building and has let out first floor for residential use for a monthly rent of ₹ 15,000. He has paid municipal taxes of ₹ 30,000 for the current financial year. Both floors are of equal size. He has taken a loan from bank of ₹ 50 lakhs for the construction of this property in 2020 and has repaid ₹ 2,05,000 (including interest ₹1,00,000) during the year 2023-24.
- (vi) Mr. Anand deposited ₹ 1,30,000 in Public Provident Fund and ₹ 80,000 in 5 years term deposit in the name of his minor son, Aman.

You are required to compute the total income and tax liability of Mr. Anand under section 115BAC as well as under normal provisions for the A.Y. 2024-25. Ignore AMT provisions.